LEARNING OUTCOMES!

Candidates should be able to:

Major exports and imports

- name the main exports and imports
- describe the changes in the types/amounts/value of goods exported and imported in recent years
- know and understand the meaning of GNP and GDP and the difference between them
- explain the effect of changing trends in exports and imports on Pakistan's balance of trade and economy.

Pakistan's trading partners

- name and locate Pakistan's main trading partners, and name the goods Pakistan exported to them or imported from them
- understand the factors which may promote or hinder trade with other countries, and explain why it is difficult for Pakistan as a developing country to maintain or increase its share of trade with other countries
- understand the factors that may promote and limit trade, including trading blocs, trade barriers and currency exchange rates.

TRADE

- ✓ Trade is the exchange of capital, goods, and services across international borders.
- ✓ It has two types; domestic and international.
- ✓ International trade contributes significantly to gross domestic product (GDP) of many countries
- ✓ International trade takes place between two different countries as opposed to domestic trade (which takes place inside the country).
- ✓ In international trade there are different currencies, weight systems, type of transport used and higher quantity of goods are traded to achieve economies of scale, as opposed to domestic trade

IMPORTANCE OF TRADE

- ✓ Specialization of production.
- ✓ Promotes industrialization.
- ✓ May lead to rise in GNP (Gross National Product).
- ✓ Production of value-added goods.
- ✓ Transfer of Information Technology.
- ✓ Utilization of domestic resources / raw material.
- ✓ Employment opportunities.
- ✓ Earn Foreign exchange.
- ✓ Increase National Income.

REASONS FOR INCREASE IN WORLD TRADE

- ✓ Industrialization has increased meaning that now a surplus of goods is produced, which is exported after fulfilling the local demand.
- ✓ Increased communication facilities mean that people in different countries can come into contact with each other, thus linking the producer with the consumer
- ✓ Better transport facilities mean that perishable items can be stored for longer and then delivered quickly by air over long distances. Thus even far away producers and consumers are able to trade
- ✓ World Trade Organization has been set up. Its function is to open up trade between different countries by limiting or reducing barriers of trade. It also supervises international trade so that it is fair for all

- ✓ International Monetary Fund IMF and other such organizations like the World Bank, help in loans etc which prevent a country from running out of cash over short periods, although these must be repaid
- ✓ Trading blocs have been setup like SAARC (South Asian Association for Regional Cooperation), which are intergovernmental agreements in which regional barriers of trade are reduced or eliminated

IMPORT

- ✓ Imports are goods and services which one country buys from another, so foreign exchange leaves the country.

MAIN IMPORTS

- ✓ Pakistan is importing from more than hundred countries, but 40 % of the imports come from six / seven countries like, Saudi Arabia, Kuwait, United States of America, Japan, Malaysia, Germany, UK, China and EU.

TRADING PARTNER	IMPORT
UK	Machinery, Electrical appliances
Eastern Europe	Machinery, Electrical appliances
USA	Machinery, Vegetable Oil and Wheat
Middle East Countries	Mineral Oil
Malaysia	Edible Oil
Japan	Machinery, Electrical appliances
Srilanka	Tea
China	Machinery, Electrical appliances, Stationary

METHODS TO REDUCE IMPORTS

- ✓ Increase the standard and quality of goods.
- ✓ Imposed heavy taxes on the imported goods.
- ✓ Apply quota system.
- ✓ Stop the import of tertiary sector.
- ✓ Reduce taxes on Pakistani goods.
- ✓ Stop the import of luxury items.
- ✓ Use local raw material instead of imported.

MAIN ITEMS IMPORTED BY PAKISTAN	2003	2004	2005
Machinery and transport equipments	$4,210,987,000	$4,851,710,000	$7,385,403,000
Chemicals and related products	$2,790,406,000	$3,330,996,000	$4,090,742,000
Mineral fuels	$3,319,013,000	$3,903,106,000	$5,299,088,000
Inedible Crude Materials[- except fuels	$1,382,605,000	$1,560,549,000	$1,886,312,000
Coal and Coke	$147,095,000	$190,971,000	$268,950,000
Petrol and related products	$3,157,810,000	$3,691,559,000	$5,011,579,000
Iron and Steel	$510,653,000	$645,314,000	$1,215,991,000
Machinery specialized for particular industry	$961,512,000	$961,512,000	$1,720,608,000
Telecommunication and sound related equipments	$478,765,000	$574,916,000	$1,793,132,000
Road Vehicles	$650,787,000	$743,493,000	$1,397,934,000

EXPORT

- ✓ Exports are goods and services which one country sells to another thus earning foreign exchange.

MAIN EXPORTS

- ✓ Pakistan trades with many countries about 106 but its exports go to six /seven countries.
- ✓ These are United States of America, Germany, Japan, UK, Saudi Arabia China, Hong Kong and EU.

TRADING PARTNER	IMPORT
UK	Raw Cotton
Eastern Europe	Cotton Cloth
USA	Carpets, Rugs, Surgical and Sports Goods
Middle East Countries	Spices, Rice, Ready made garments
Japan	Fish and Fish Products
China	Cotton Yarn

WHY DIFFICULT TO EXPORT?

- ✓ Challenging to compete with foreign companies / producers (accept an example, e.g. Egypt – textiles)
- ✓ Poor Quality of items
- ✓ Child labour causes barriers to trade (e.g. EU)
- ✓ Limited management expertise in the export industry
- ✓ Other countries have trade barriers / tariffs / quotas / restrictions (to protect their own industries / markets)
- ✓ Relations with some other countries restricts trade

METHODS TO INCREASE EXPORTS

- ✓ Reducing imports specially capital and consumer goods.
- ✓ Maintain the standard and quality of the goods.
- ✓ Export of value-added goods.
- ✓ Establishment of small scale industries.
- ✓ Incentives to the investors.

- ✓ Establishment of EPZ and industrial estates.
- ✓ Establishment of Air ports.
- ✓ Stop the export of raw material.
- ✓ Competitive prices.
- ✓ Reliable supply
- ✓ Better Port facilities
- ✓ Good telecommunication

How can Pakistan increase foreign exchange earned by trading with a country or trading bloc such as SAARC or the EU?

- ✓ Value-added/processed goods
- ✓ Good quality
- ✓ Competitive prices
- ✓ Reliable supply
- ✓ Stable government
- ✓ Good telecommunication
- ✓ Better port facilities

MAIN ITEMS EXPORTED BY PAKISTAN	2003	2004	2005
Cereals and cereal preparation	$687,842,000	$739,791,000	$1,213,087,000
Textile yarn, fabric and related products	$6,030,136,000	$6,124,587,000	$7,087,465,000
Clothing accessories	$2,840,412,000	$3,025,735,000	$1,546,040,000
Food and live animals	$1,177,971,000	$1,215,865,000	$1,645,221,000
Baby carriages, toys, games and sporting goods	$324,298,000	$315,876,000	$317,528,000

GROSS DOMESTIC PRODUCT

- ✓ GDP measures the value of goods and services produced within a country's borders, by citizens and non-citizens alike.

GROSS NATIONAL PRODUCT

- ✓ GNP measures the value of goods and services produced by only a country's citizens but both domestically and abroad.

BALANCE OF TRADE

- ✓ Balance of trade is the difference between visible imports and visible exports.

BALANCE OF PAYMENT

- ✓ Balance of payments is the difference between (visible and invisible imports) and (visible and invisible exports).
- ✓ Here invisible imports/exports are services like professional Pakistanis who work in the Middle East.

NEGATIVE BALANCE OF TRADE/PAYMENT

- ✓ The value of imports exceeds that of its exports.

Causes

- ✓ Value of goods imported is more than the value of goods exported;
- ✓ Uncompetitive quality/low quality of exports;
- ✓ Unable to fulfil domestic needs of population so import is needed.
- ✓ Dependency on import of capital goods/machinery/ oil/high value added goods
- ✓ Dependency on importing/exporting agricultural products
- ✓ Depreciating own currency/rupee against dollar;
- ✓ Trade embargoes imposed by other countries.

Effects

- ✓ Developmental projects have to be curtailed.
- ✓ Reliance on foreign assistance increases.
- ✓ The imbalance of trade has to be filled by taking loans, which increases debt.
- ✓ In case of non-payment of loans, an economic or trade embargo may be imposed.
- ✓ In order to repay the loans, the assets of the country may have to be sold to foreign companies.
- ✓ Higher taxes imposed, which limits the purchasing power of the consumer, resulting in lower demand and less production.
- ✓ Business and commercial activities slows down.
- ✓ Country's currency depreciates, so imports become expensive.

Effects on economy

- ✓ A negative balance of payments means that Pakistan needs to urgently raise money to pay for its excess imports.
- ✓ This means that big loans must be taken out from IMF and World Bank.
- ✓ Since these loans come with high interest rates, the government needs to raise taxes to pay them back.
- ✓ This means that prices of goods increase in the local market.
- ✓ People's real income decrease as they are able to buy fewer goods.
- ✓ This results in low demand for locally produced goods, which lowers profits for industries and results in loss.
- ✓ Workers need to be laid off to reduce costs.
- ✓ This increases unemployment and increases social disorder thus hampering foreign investment
- ✓ People are unwilling to invest and move their businesses out of the country, which means that no modernization of influx of new ideas occurs.
- ✓ Production is lowered and cost of production increases, this makes locally produced goods uncompetitive in foreign markets leading to slump in exports and ultimately default on loan payments.
- ✓ This means that you can have your country's foreign assets and funds frozen and an embargo placed on your goods in international markets
- ✓ Furthermore, money is diverted from projects which aim to improve healthcare, education etc.

- ✓ The living standards of people fall and there is general discontent within the general population

Solution

- ✓ Increase exports specially value-added.
- ✓ Reduce import specially consumer goods.
- ✓ Stop the import of service industry.
- ✓ Improve the standard and quality of goods.
- ✓ Ban the export of raw material (raw cotton).
- ✓ Increase the export of manufactured goods related to cotton textile industry.
- ✓ Searching new International markets for export.
- ✓ Heavy taxes imposed on imported material.
- ✓ Ban the import of luxury items.
- ✓ Trade barriers.

Why does Pakistan need to increase foreign exchange?

- ✓ Negative balance of payments/trade
- ✓ Reduce foreign debt
- ✓ Investment in agriculture
- ✓ Industrialisation

TRADE BARRIERS

- ✓ Trade barriers exist when the Government imposes a set of restrictions that make it difficult for countries to trade their goods and services effectively and easily.
- ✓ The trade barriers may exist in the form if tariffs (taxes on imports), trade embargoes (a ban on certain imported products) and quotas (these impose restrictions on the physical quantity of goods imported) etc.
- ✓ Such measures are designed to restrict the inflow of imports into the country.
- ✓ An inflow of cheap imported goods (e.g. from China) threatens domestic industries.
- ✓ It often result in high levels of unemployment when uncompetitive domestic industries are forced to shut down.
- ✓ Therefore, in order to protect domestic industry, the government may impose trade barriers e.g. on Chinese goods.

Tarrifs

- ✓ Taxes on imports

Embargoes

- ✓ A ban on certain imported products

Quotas

- ✓ Impose restrictions on the physical quantity of goods imported

Advantages

- ✓ Give rise to greater self-sufficiency.
- ✓ Reduce foreign dependency.
- ✓ Protect local industries.
- ✓ Create employment opportunities.
- ✓ Exploitation of local resources.

Disadvantages

- ✓ Corruption may rise.
- ✓ Poor quality and standard due to less competition at International level.
- ✓ No control on prices.
- ✓ May lead to monopoly.
- ✓ Limited good variety.

TRADING BLOCS

- ✓ Trading blocs refers to regional groupings of international economies to allow for greater economic cooperation and facilitation of free trade.
- ✓ Trading blocs involve lower or zero trade restrictions between members and strong trade barriers against non-members.
- ✓ Pakistan is a member of the following organizations:

SAARC (South Asian Association for Regional Cooperation)

- ✓ SAARC was founded in Dhaka in 1985.
- ✓ Its secretariat is in Kathmandu.
- ✓ The organization promotes development economics and regional integration.
- ✓ Its member states include Afghanistan, Bangladesh, Bhutan, India, Nepal, Maldives, Pakistan and Sri Lanka.

ECO (Economic Cooperation Organization)

- ✓ It was founded in 1985 in Tehran by the leaders of Iran, Pakistan and Turkey.
- ✓ It provides a platform to discuss ways to improve development and promote trade and investment opportunities.
- ✓ The main objective is to establish a single market for goods and services.

ASEAN (Association of South East Asian Nations)

- ✓ It was founded on 8 August 1967.
- ✓ Southeast Asia is composed of ten countries of impressive diversity in religion, culture and history.
- ✓ Brunei, (Myanmar), Cambodia, East Timor, Indonesia, Laos, Malaysia, the Philippines, Singapore, Thailand, and Vietnam.
- ✓ Its main aim is to accelerate economic growth, social progress and cultural development among its members and to promote regional peace.

Pakistan and European Union

- ✓ The European Union (EU) is an economic and political group and a trading bloc of 27 member states that are located primarily in Europe.

- ✓ The European Union was formally established in 1993 to enhance political, economic and social cooperation within member states.
- ✓ The EU has evolved as a single market that allows the free circulation of goods, capital, people and services within the EU.
- ✓ Inside the EU goods and services are not subject to custom duties and import quotas.
- ✓ However such restriction do exist when EU countries trade outside the European Union.
- ✓ The EU countries are: Austria, Belgium, Bulgaria, Croatia, Republic of Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungry, Ireland, Italy, Latvia, Lithuania, Luxembourg, Malta, Netherland, Poland, Portugal, Romania, Slovakia, Slovenia, Span and Sweden.
- ✓ Pakistan exports mainly textiles, medical equipments and leather products to partners in the EU and imports mainly mechanical and electrical equipments, chemical and pharmaceutical products from these countries.

Advantages

- ✓ More exports / can pay off debt / improved trade balance / more foreign exchange
- ✓ Cheaper imports
- ✓ Better availability
- ✓ Boosts industrialisation / more factories built / more investment in these industries
- ✓ Fewer trade barriers / lower taxes
- ✓ Stable market

Disadvantages

- ✓ Conditions imposed / ban on child labour
- ✓ Pakistan goods may not be up to standard
- ✓ Pakistan production may not be reliable
- ✓ Imports may compete with local production due to which local industries may suffer
- ✓ May affect other agreements, e.g. Iran, China
- ✓ Fluctuating currency rates

Why it is important that Pakistan trades both imports and exports with the EU?

- ✓ To improve / maintain the balance of payments
- ✓ To increase / maintain foreign currency
- ✓ To make good relations / trade agreement

There are advantages and disadvantages to Pakistan of trading with different countries or groups of countries.

Read the following two views:

> Pakistan would benefit from stronger trade links with China.

> There are more advantages to Pakistan in maintaining trade with EU (European Union) countries.

Which view do you agree with more? Give reasons and refer to places or examples you have studied to support your answer. [6]

I agree with view A more.

Why?

- ✓ EU has trade barriers (custom duties and import quotas/tariffs/embargoes) with countries outside the EU
- ✓ EU may restrict trade (due to poor law and order situation / terrorism / environmental issues / child labour/political instability)
- ✓ Cottage and small scale industry products may lack international quality standard acceptable to EU
- ✓ Chinese imports are low-priced (and meet local demand)
- ✓ China faster growing economy so Pakistan can earn more foreign exchange
- ✓ Land link with China (Karakoram Highway/Khunjerab Pass)

TDAP

- ✓ The Trade Development Authority of Pakistan (TDAP) , is a department within the Ministry of Commerce and Textile Industry of the Government of Pakistan.
- ✓ It facilitates and promotes international trade of Pakistan.

PROBLEMS OF TRADE FOR PAKISTAN

- ✓ Dependence of major exports on a few commodities. Most of Pakistan's exports are agro-based and when yields are low due to floods etc (or attacks by leaf curl virus on cotton crop); exports plummet. Exports therefore need to be diversified so as to ensure consistent value of exports per annum
- ✓ Power cuts are back breaking to industries as they halt production, thus orders can't be fulfilled leading to loss of market share in other countries. Foreign customers as well as local customers are lost
- ✓ Less people willing to invest in Pakistan due to economic and social instability which means that there is no influx of technology or foreign reserves in the country
- ✓ Devaluation of the currency makes importing of machines etc difficult. This hampers further the modernization of industry
- ✓ The problem of child labour has led to decrease in orders from Europe and USA for sports goods and surgical instruments
- ✓ Import tariffs by EU countries on Pakistani textiles to protect their own cotton industry means that Pakistani cotton is expensive to buy there. Exports are not very profitable thus exports have decreased
- ✓ Remittances haven't increased a lot in the last 2-3 years meaning that it is difficult to find foreign exchange to pay for increased imports
- ✓ Fish related industry is also suffering due to lack of quality control procedures during processing of fish, which means it can't be exported to the West
- ✓ Fruit related industry can't export fruits too far off places due to poor methods of preservation used. Most of the fruit becomes unfit for human consumption and is thus wasted
- ✓ All of this results in a negative balance of trade, thus Pakistan has less money to spend on education, health services or in development of oil/gas fields or industries etc.
- ✓ Taxes are increased and thus goods are expensive, so people buy less and GDP falls

'There are more factors that hinder trade between Pakistan and other countries than factors that help trade.' To what extent do you agree with this view? Give reasons and use examples you have studied to support your answer. [6]

Hinder

- ✓ Lack of security
- ✓ Political instability/inconsistent government policies
- ✓ Debt/imbalance of trade (leads to need for loans/foreign economic assistance and possible trade embargo if default)
- ✓ International tension (e.g. with India, historically since partition 1947 and periodically over Kashmir so no significant trade with India has developed).
- ✓ Mountainous terrain to NW. (Passes to Afghanistan e.g. Khyber, Kurram, and Khojak subject to border tensions, landslides, and avalanches.)
- ✓ Trade barriers/embargoes from industrialised countries (which express concerns about child labour/health and safety/hygiene/environmental standards such as excessive use of pesticides on cotton).
- ✓ Membership of regional organisations (e.g. ECO/SAARC/WTO in 2004) (involves removing import tariffs causing inflow of cheap imports)
- ✓ Devaluing Pakistan rupee (makes imports, which are more than exports, more expensive)

Help

- ✓ Improvements to transport infrastructure, (e.g. Karakoram Highway/new road Quetta to Chaman, Afghanistan/upgrade to RCD Highway to open a route to Iran and Turkey)
- ✓ Development of ports (particularly Karachi/Bin Qasim port for containers and bulk cargo)
- ✓ Membership of regional organisations (e.g. ECO/SAARC/WTO in 2004) (in which member countries benefit from access to major world markets)
- ✓ Tax incentives for exporters
- ✓ Export Promotion Bureau/Trade Development Authority of Pakistan/Export Processing Zones
- ✓ Devaluing Pakistan rupee (makes exports cheaper)

EXCHANGE RATE

- ✓ An exchange rate refers to the price of one currencyin terms of another currency, e.g. one US dollar is equal to 106 Rupees.
- ✓ The Exchange Rate is the rate at which one currency can be exchanged for another.
- ✓ Exchange rates are significant in determining the cost of imports and the price of exports.

CURRENCY DEPRECIATION

- ✓ A decrease in the value of a currency.
- ✓ When a currency depreciates, imports become more expensive, while exports become cheaper. Imports should fall, exports should rise and the trade deficit should become smaller.

Effects

- ✓ Imports expensive, exports are cheaper
- ✓ High inflation rate
- ✓ Taxes increased
- ✓ Increase debts
- ✓ Trade deficit
- ✓ Stop ongoing projects due to rising costs
- ✓ Purchasing power of citizens reduced
- ✓ Unfavourable balance of payment
- ✓ Less GDP
- ✓ Unemployment

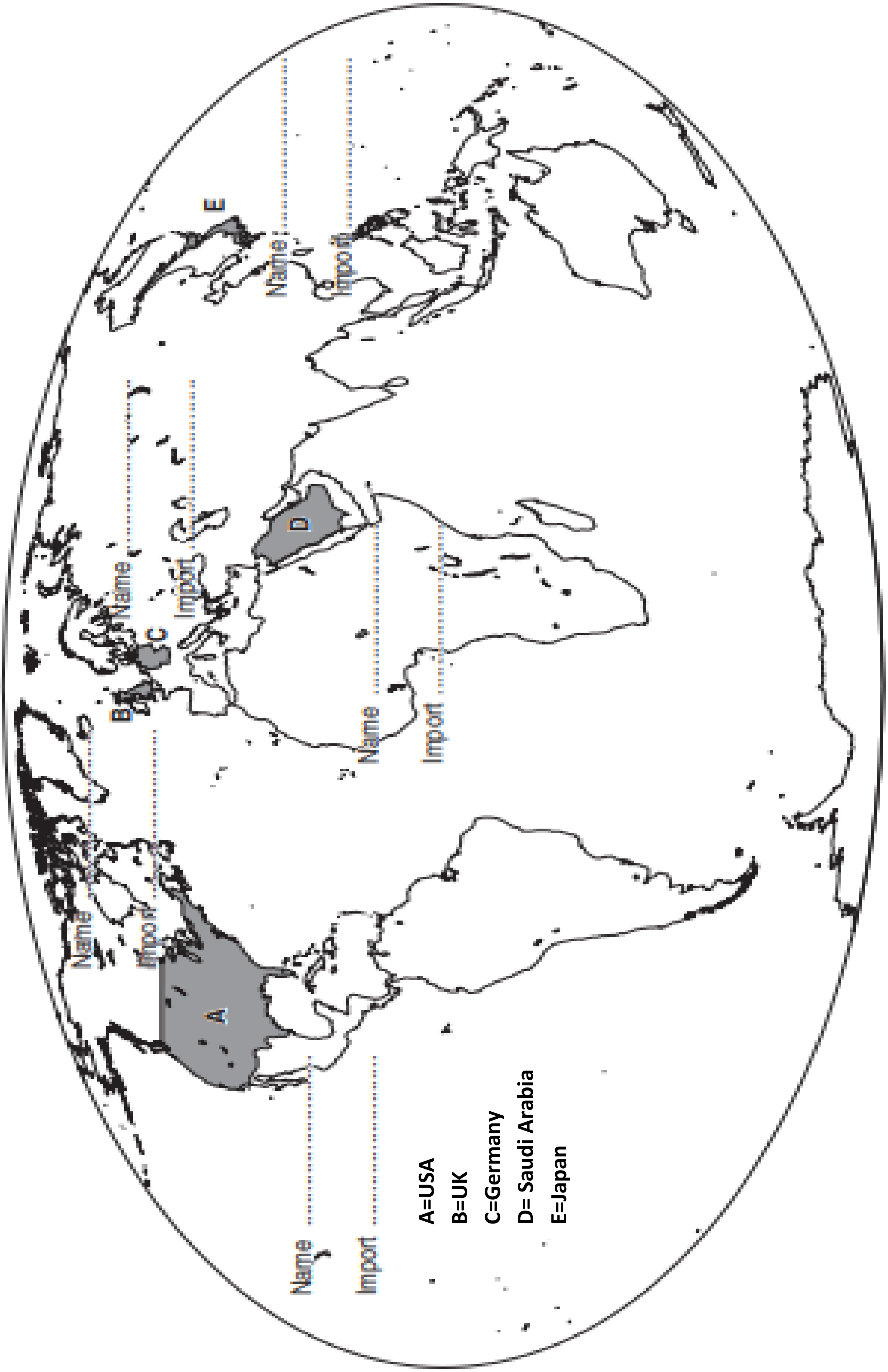
CURRENCY APRECIATION

- ✓ An increase in the value of a currency
- ✓ When a currency appreciates, imports become cheaper, while exports become more expensive. Imports should rise, exports should fall and the trade deficit become larger.

Effects

- ✓ Exports expensive
- ✓ Imports are cheaper
- ✓ Lower inflation rate
- ✓ Increase of employment and per capita income in a country.
- ✓ Favourable balance of payment

- ✓ Incentive to businessmen from government side.


Name
Import
A
B
C
D
E
A=USA
B=UK
C=Germany
D= Saudi Arabia
E=Japan